

China Daily Brief

Friday, September 11, 2026

2,855 words · 11 min read

RE: Xi to BRICS & DC · Anthropic vs Chinese AI labs · HK Tiananmen sentences · US-China tariff talks · Qingdao fire

USD/CNY
6.6971
▼ -0.20%

SSE COMPOSITE
3,888.11
▼ -1.13%

HANG SENG
24,805.63
▼ -3.30%

BRENT
\$103.50
▲ +5.70%

IN THIS ISSUE Top Stories · US-China · The World · Beijing · Markets · Statements · Analysis · Overnight · The Wire · Upcoming

• TODAY AT A GLANCE

- 1 Anthropic says China-based AI labs, Alibaba, Moonshot AI, DeepSeek and Xiaomi, secretly fed millions of Claude exchanges into their own models to distill its capabilities, drawing a firm MOFA denial.
- 2 Xi Jinping departs for New Delhi Saturday for his first India visit since 2019 to attend the BRICS summit, with a Modi bilateral meeting being arranged as his Sept. 24 Washington state visit approaches.
- 3 A Hong Kong court sentenced Tiananmen vigil organizers Chow Hang-tung, Lee Cheuk-yan and Albert Ho to years in prison on subversion charges, prompting Beijing to tell foreign critics to stop commenting on the case.

TECHNOLOGY

Anthropic accuses Alibaba, Moonshot, DeepSeek of covertly training on Claude

Anthropic said it disrupted efforts by China-based AI labs, naming **Alibaba**, Moonshot AI, DeepSeek and Xiaomi, to feed millions of user conversations with their own models into Claude, then used Claude's responses to distill and improve their systems, CNBC reported. Some intercepted exchanges 'included sensitive information, including from individual users, major multinational companies, and state-affiliated actors,' per Sinocism's summary of the report. MOFA spokesperson **Mao Ning** rejected the allegations, saying China 'firmly opposes distorting facts to attack and smear China.'

CNBC, SINOCISM, MOFA

US-CHINA

China says it hopes to reach tariff-cut deal with US 'at an early date'

China's government said Thursday it hopes to agree with Washington on further tariff reductions 'at an early date,' AP reported, as officials continue talks on the \$30 billion reciprocal tariff-cut framework struck at the May 14-15 Trump-Xi summit in Beijing. MOFCOM separately confirmed the two sides 'are consulting on a framework arrangement for \$30 billion in reciprocal tariff reductions,' per Caixin's market wrap. The comments arrive two weeks before **Xi Jinping's** Sept. 24 state visit to Washington.

AP, CAIXIN (MOFCOM)

DIPLOMACY

Xi heads to New Delhi for first India visit in seven years

Xi Jinping will attend the 18th BRICS leaders' summit in New Delhi on Sept. 12-13, his first India visit since 2019, China's foreign ministry confirmed. Beijing and New Delhi are 'arranging' a Xi-Modi bilateral meeting, per MOFA; Russian President Vladimir Putin arrived in Delhi ahead of the summit and is due to meet Iranian President Masoud Pezeshkian. The trip precedes Xi's Sept. 24 Washington state visit.

NYT, XINHUA, GUARDIAN

DIPLOMACY

Hong Kong jails Tiananmen vigil leaders Chow, Lee, Ho on subversion charges

A Hong Kong court sentenced Hong Kong Alliance leaders **Chow Hang-tung** to 7 years 3 months, Lee Cheuk-yan to 7 years, and Albert Ho to 5 years 2 months for 'incitement to subversion' tied to organizing the city's annual Tiananmen vigils, corroborated across NYT, AP and CNA. Judges cited the trio's use of the phrase 'end one-party dictatorship'; all three had been detained since 2021. MOFA said 'relevant parties' should 'respect China's sovereignty and stop making irresponsible remarks' about the case.

CNN, NYT, AP, CNA

PRC-ECONOMY

Cargo ship fire at Qingdao shipyard kills 25

A fire aboard the Liberian-flagged bulk carrier *Ocean Melody*, undergoing repairs at China State Shipbuilding Corp's Beihai shipyard in Qingdao, killed at least 25 *people* and injured five, Chinese state media reported. The blaze broke out around 11:15am Thursday with 42 people aboard and was extinguished by 2:30pm; **Xi Jinping** ordered a full search-and-rescue effort and 'serious investigation of responsibility,' per Xinhua.

CNN, NYT, XINHUA VIA DW

INDO-PACIFIC

Philippines reads Chinese note aloud, Beijing accuses Manila of 'grandstanding and lying'

Philippine Defense Secretary Gilberto Teodoro Jr. read aloud, line by line, a note handed to him by a Chinese military attaché at the Seoul Defense Dialogue, which reasserted Beijing's rejection of the 2016 South China Sea arbitration ruling as 'illegal' and 'invalid,' per the Washington Post. China accused Philippine officials of 'grandstanding and lying' in response, according to SCMP's roundup of the incident.

WAPQ, SCMP

TECHNOLOGY	China's 'Four Little GPU Tigers' face their real test, WSJ says — Domestic AI chipmakers dubbed China's 'Four Little GPU Tigers' have yet to face their real competitive test, the Wall Street Journal reported. The piece follows Tencent-backed Enflame's blockbuster Shanghai IPO debut this week. · WSJ China
ENERGY	China's independent refiners scramble for oil, boosting spot premiums — Chinese independent 'teapot' refiners are scrambling for crude supply, pushing up spot premiums, Reuters reported. Brent crude traded near \$103.50 a barrel, up 5.7 percent, amid tightening global supply. · Reuters China
TECHNOLOGY	Chinese humanoid startup JoyIn flips 'distillation' claim onto OpenAI — Ant-backed robotics startup JoyIn's CEO published an article questioning similarities between his firm's new model and OpenAI publications, CNBC reported. It follows Anthropic's accusation that Chinese labs copied its models. · CNBC China
TECHNOLOGY	YC's Garry Tan says 'do nothing' about AI distillation risk — Y Combinator CEO Garry Tan said at the accelerator's Demo Day he is unconcerned about frontier AI model distillation, CNBC reported. The comments came as US AI firms accuse Chinese labs of copying their technology. · CNBC China
TECHNOLOGY	Regulatory uncertainty clouds Chinese robot firm Galaxea AI's IPO plan — Regulatory uncertainty is clouding humanoid robotics maker Galaxea AI's IPO plans, the Wall Street Journal reported. · WSJ China
LEGAL	China's judicial reach extends across the world, FT reports — A growing web of Chinese judicial actions threatens multinationals and individuals for conduct outside China's borders, the Financial Times reported. · FT China
PRESS FREEDOM	Hong Kong court convicts WSJ publisher over union-role interference — A Hong Kong court convicted the Wall Street Journal's publisher of deterring reporter Selina Cheng from taking a union role, AP reported. · AP China
DIPLOMACY	Tung Chee-hwa, Hong Kong's first chief executive, dies — Tung Chee-hwa, who led Hong Kong as its first chief executive after the 1997 handover, has died, the Economist reported. · Economist China
CROSS-STRAIT	Russian screening of 81-year-old Soviet film alarms Taiwan — A Russian screening of an 81-year-old Soviet-era film to a small audience has alarmed Taiwan, Reuters reported. · Reuters China
TECHNOLOGY	US DOJ probes Nvidia's \$17 billion Groq deal for antitrust circumvention — The Paper reported that the US Justice Department is investigating whether Nvidia's \$17 billion deal with AI chip startup Groq was structured to dodge antitrust review, citing CCTV Finance. · 澎湃新闻 (The Paper ZH)

LEGAL · REUTERS CHINA

Huawei criminal trial opens in Brooklyn, prosecutor calls firm 'a criminal enterprise'

A US federal trial against **Huawei** opened this week in New York with a prosecutor describing the Chinese telecom giant as a criminal enterprise, Reuters reported. Huawei denies stealing trade secrets and violating Iran sanctions, per Nikkei's coverage of the opening.

DIPLOMACY · NYT ASIA (DIRECT)

Mock AI attack on WeChat adds urgency to US-China AI safety talks

A demonstrated cyberweapon capable of attacking WeChat has exposed vulnerabilities in China's systems and added urgency to AI safety talks between Beijing and Washington, the New York Times reported. The demonstration involved Anthropic and researchers tied to Fudan University and Brookings, per the Times.

INVESTMENT · CNBC CHINA

Ford invests \$1 billion in Kentucky plant after DOT criticism on China

Ford announced a *\$1 billion* investment to build a new paint shop at its Kentucky truck plant, CNBC reported, following Department of Transportation criticism of automakers over China supply-chain reliance. The move underscores continued US pressure on automakers to reduce China exposure.

LEGAL · MOFCOM ZH

US firm files Section 337 petition against Chinese power transmission systems

A US company petitioned the US International Trade Commission for a Section 337 investigation into 'specific vertical power transmission systems' and downstream computer systems of Chinese origin, MOFCOM's trade remedy bureau said. The notice did not name the petitioning company or specific respondents.

TARIFF · MOFCOM ZH

US opens anti-dumping, countervailing duty probe on Chinese hydraulic cylinders

The US launched a combined anti-dumping and countervailing duty investigation into Chinese linear hydraulic cylinders and their components, China's Commerce Ministry trade remedy bureau reported. No detail on petitioners or proposed duty rates was disclosed.

CROSS-STRAIT · REUTERS CHINA

Taiwan VP Hsiao Bi-khim's rare Europe visit draws Chinese protest

Taiwan Vice President **Hsiao Bi-khim** is visiting Italy for the Ventotene Europe Freedom and Democracy Conference, her second Europe trip in under a year, Reuters reported. China called the visit 'despicable' and lodged protests with Rome and Brussels.

CROSS-STRAIT · TAIPEI TIMES

Taiwan detains two more aides in widening China espionage probe

Taiwan's High Court ordered two aides in independent Legislator May Chin's office detained incommunicado, broadening a probe into alleged Chinese espionage by her former chief of staff, Chang Chun-chieh, who fled after cutting off his monitoring bracelet. Prosecutors believe Chang built a Chinese spy ring that may have operated for more than a decade with PRC funding.

JAPAN · 香港01 (HK01 ZH)

China raises visa fees for Japanese citizens in 'reciprocal' move

China will raise visa fees for Japanese citizens effective Sept. 14 under a 'reciprocal arrangement,' its embassy in Tokyo said. MOFA spokesperson Mao Ning confirmed the change at Thursday's briefing without further comment.

JAPAN · BLOOMBERG CHINA

China threat erodes Japanese anger over US bases ahead of vote

Rising concern over China is softening Japanese public opposition to US military bases ahead of an upcoming vote, Bloomberg reported. The shift comes as Japan pursues record defense spending amid what its 2026 white paper calls an 'unprecedented' Chinese challenge.

KOREA · BLOOMBERG CHINA

South Korea toughens spy law to protect chip secrets from China

South Korea is strengthening its espionage law to better shield semiconductor trade secrets from China, Bloomberg reported. The move follows alleged Chinese industrial espionage targeting Korean chipmakers.

ASEAN · BLOOMBERG CHINA

US backs LNG, nuclear projects in Philippines with eye on China

Washington is backing liquefied natural gas and nuclear power projects in the Philippines, Bloomberg reported, part of a push to counter Chinese influence in the country's energy sector.

RUSSIA-CENTRAL ASIA · REUTERS CHINA

Finnair says Chinese carriers' access to Russian airspace is unfair

Finnair said Chinese airlines' continued access to Russian airspace, closed to Western carriers since 2022, gives them an unfair competitive advantage on Asia routes, Reuters reported.

MULTILATERAL · GUARDIAN CHINA

Putin arrives in Delhi for BRICS summit set to be dominated by Iran, Ukraine wars

Russian President Vladimir Putin arrived in New Delhi ahead of the 11-member BRICS summit, which the Guardian said will be dominated by the Middle East and Ukraine wars and economic strains. Putin and Iran's President Masoud Pezeshkian were due to hold talks with Modi, with **Xi Jinping** also expected to attend.

• STAT OF THE DAY

+188%

Enflame's first-day Shanghai IPO surge

Tencent-backed AI chipmaker Enflame raised \$912 million in its IPO before shares jumped as much as 188 percent in Shanghai trading, per Reuters, as investors chase a domestic Nvidia alternative.

Reuters

• ECONOMY & BUSINESS

TECH / ENFLAME, TENCENT · REUTERS CHINA

Tencent-backed Enflame nearly triples in Shanghai IPO debut

AI chipmaker Enflame raised \$912 million in its IPO before shares jumped as much as 188 percent in Shanghai trading, Reuters reported, on bets it can challenge Nvidia domestically.

AUTO · BLOOMBERG CHINA

China sets 70% EV goal for new car sales in Five-Year Plan

Beijing's next five-year plan sets a target of 70 percent of new car sales being electric by 2030, Bloomberg reported.

AUTO · REUTERS CHINA

China targets mass deployment of self-driving vehicles by 2030

China set a target for mass deployment of self-driving vehicles by 2030 under its policy planning, Reuters reported.

TECH · BLOOMBERG CHINA

Chinese chipmakers become billionaires without turning a profit

China's AI chip boom is minting billionaire founders at firms that have yet to post profits, Bloomberg reported.

FINANCE · CNBC CHINA

China's wealthy brace for widening tax net on offshore wealth

Beijing's push to tax offshore wealth may be only the opening phase of a broader campaign eventually reaching overseas properties and inheritances, CNBC reported.

TECH / APPLE, XIAOMI, HUAWEI · CNBC CHINA

iPhone Duo enters China's crowded foldable market, faces price test

Apple's iPhone Duo drew Chinese consumer focus on price comparisons with cheaper Xiaomi and Huawei foldables, CNBC reported.

ENERGY · CNBC CHINA

China's oil 'relief valve' starts closing, squeezing markets

Pickering Energy Partners' Dan Pickering said China's return to the oil market is one of several forces keeping crude elevated, alongside the Iran conflict and Venezuela's supply 'red herring,' CNBC reported.

● WHAT BEIJING DID

STATE COUNCIL + MINISTRIES · FRIDAY, SEPTEMBER 11, 2026

国务院 · STATE COUNCIL · *Li Qiang, Premier*

Signs order promulgating Market Supervision Administration Regulations

Li Qiang signed a State Council order publishing new regulations governing local Market Supervision Administration offices, per a State Council notice.

→ [State Council ZH](#) ↗

中国人民银行 · PEOPLE'S BANK OF CHINA · *PBOC*

Announces overnight reverse repo operations for Sept. 14-17

The PBOC said it will conduct overnight reverse repo operations at a fixed rate from Sept. 14-17, with a daily volume cap of *¥600 billion*, to smooth short-term liquidity as government bond issuance peaks for the year.

→ [PBOC ZH \(Economic Information Daily\)](#) ↗

中国人民银行 · PEOPLE'S BANK OF CHINA · *Lu Lei, Deputy Governor*

Unveils 15th Five-Year Plan financial reform roadmap, five-part RMB internationalization push

Deputy Governor **Lu Lei** said the PBOC's structural monetary tools supporting its 'five major articles' agenda held a balance of *¥4.6 trillion* as of end-June, and outlined five areas, usage, holding, circulation, offshore system-building and international cooperation, for advancing RMB internationalization through the 15th Five-Year Plan period.

→ [PBOC ZH \(Sohu\)](#) ↗

中国证券监督管理委员会 · CSRC · *CSRC*

Sets capital markets direction for next five years, citing 'eight major directions'

The CSRC set its policy tone for capital markets over the next five years, outlining 'eight major directions,' per Caixin's market wrap; specific contents were not detailed in available reporting.

→ [Caixin ZH](#) ↗

商务部 · MOFCOM · *MOFCOM spokesperson*

Responds to summoning of French firms, China-US tariff-cut consultations

MOFCOM addressed hot economic topics including the summoning of French companies operating in China and confirmed China and the US are consulting on a framework for *\$30 billion* in reciprocal tariff reductions agreed at the May Beijing summit.

→ [MOFCOM ZH](#) ↗

外交部 · MOFA

FIRM · TO OTHER

Hong Kong Tiananmen vigil sentencing, foreign criticism

MOFA spokesperson · MOFA spokesperson

“Relevant parties should earnestly respect China's sovereignty and stop making irresponsible remarks about the trial of Special Administrative Region judicial cases.”

有关方面应当切实尊重中国主权，停止就特区司法案件审理发表不负责任的言论。

Context: Statement follows a Hong Kong court's Sept. 11 sentencing of three Tiananmen vigil organizers to prison on subversion charges, which drew Western criticism.

China Daily ZH

外交部 · MOFA

FIRM · TO US

Anthropic's distillation accusation against Alibaba

Mao Ning · MOFA spokesperson

“China has always adhered to developing artificial intelligence for good, and firmly opposes distorting facts to attack and smear China.”

中国始终坚持人工智能向善发展，同时也坚决反对歪曲事实，对中国进行攻击抹黑。

Context: Anthropic accused Alibaba, Moonshot, DeepSeek and Xiaomi of covertly using Claude to train their own models; Mao Ning responded at the Sept. 11 briefing.

信报 (HKEJ ZH)

外交部 · MOFA

WARNING · TO TAIWAN

Taiwan VP Hsiao Bi-khim's Italy visit

Mao Ning · MOFA spokesperson

“The DPP authorities and certain politicians rack their brains to chase the spotlight everywhere, using the pretext of 'democracy and freedom' to seek 'independence' by relying on foreign forces, this behavior is shameless and will ultimately be futile.”

民进党当局和个别政客挖空心思四处蹭热度，打着『民主自由』的幌子倚外谋『独』，这种行为令人不耻，终归徒劳。

Context: Statement responds to Vice President Hsiao Bi-khim's visit to Italy for the Ventotene democracy conference, which Beijing protested to Rome and Brussels.

自由时报 (Liberty Times ZH)

国台办 · TAO

ROUTINE · TO TAIWAN

'One country, two systems' Taiwan plan

TAO spokesperson · TAO spokesperson

“Per TAO: welcomes more Taiwan compatriots discussing the specific content of the 'one country, two systems' Taiwan plan.”

Context: Comment came during a regular TAO briefing on cross-strait unification messaging.

Sina ZH

外交部 · MOFA

FIRM · TO PHILIPPINES

Philippines South China Sea note incident

MOFA/embassy · Chinese officials

“Per SCMP: Beijing accused Philippine officials of 'grandstanding and lying' after Manila's defense secretary read aloud a Chinese diplomatic note live at the Seoul Defense Dialogue.”

Context: Philippine Defense Secretary Teodoro read aloud a Chinese embassy note reasserting Beijing's rejection of the 2016 South China Sea arbitration ruling as 'illegal' and 'invalid.'

SCMP

• WHAT OTHERS ARE SAYING

UDN · SEP 11, 2026

Hsiao Kuang-wei · Taiwan Ministry of Foreign Affairs spokesperson

“China has no right to interfere in Vice President Hsiao's being invited to visit Europe to attend European Parliament-related activities.”

Note: Beijing lodged 'serious representations' with Italy and the EU over Vice President Hsiao Bi-khim's visit, her second Europe trip in under a year, per UDN.

source

DIPLOMACY

KYODO CHINA

Japan trade promotion group arranging China visit from Sept. 27

A Japanese trade promotion group is arranging a visit to China starting Sept. 27, Kyodo reported.

HONG KONG-ECONOMY

SCMP

Northern Metropolis tech corridor faces cross-border bottlenecks

Cross-border capital and talent bottlenecks are holding back Hong Kong's Northern Metropolis tech corridor ahead of John Lee's Sept. 16 five-year policy address, SCMP reported.

HONG KONG-LABOR

SCMP

Hong Kong won't cap talent scheme passes

Hong Kong's labour minister said the city won't cap admissions under its talent visa schemes, wanting 'the more, the better,' SCMP reported.

TRADE

美国之音中文 (VOA CHINESE ZH)

Taiwan trade surplus growth stokes tariff fears

Taiwan's widening trade surplus with the US is stoking concern in Taipei over possible higher US tariffs, VOA Chinese reported.

FINANCE

TAIPEI TIMES

Hedge fund UG courts Taiwan to tap AI wealth

Singapore-based hedge fund UG Investment Advisers signed a deal with Taiwan's E.Sun Commercial Bank to tap the island's AI-driven wealth boom, Taipei Times reported.

CROSS-STRAIT

TAIPEI TIMES

Taiwan court sentences two for building CCP 'united front' recruitment network

Taiwan's High Court sentenced businessman Cheng Ming-chia to 10 years 6 months and a retired official to 5 years for developing a CCP united front recruitment organization, Taipei Times reported.

AUTO/EV

REUTERS CHINA

Europe drives global EV sales growth in August, offsetting China weakness

Europe drove global EV sales growth in August, offsetting weakness in China and North America, Reuters reported.

TECHNOLOGY

TAIPEI TIMES

Taiwan to invest NT\$300bn in chip R&D, homegrown design software

Taiwan will invest *NT\$300 billion* (\$9.51 billion) through 2033 in chip design software and semiconductor R&D infrastructure, the Executive Yuan said.

• UPCOMING

Sep
12

BRICS Summit opens in New Delhi

Xi Jinping attends the 18th BRICS leaders' summit, his first India visit since 2019; a Xi-Modi bilateral meeting is being arranged, per MOFA.

Sep
18

Mukden Incident 95th anniversary

The flashpoint date falls amid fresh China-Japan friction over visa fees and East China Sea air activity.

Sep
22

UN General Assembly high-level week opens

UNGA opens in New York two days before Xi's Washington state visit.

Sep
24

Xi Jinping state visit to Washington

Follows the May 14-15 Beijing summit; watch for Board of Trade/Investment follow-through, agricultural purchases and Boeing orders.

Oct
1

PRC National Day, 77th anniversary

Marks the 77th anniversary of PRC founding.

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